IN THE UNITED STATES BANKRUPTCY COURT
FOR THE WESTERN DISTRICT OF PENNSYLVANIA

In re: 5171 CAMPBELLS LAND CO., INC., Debtor. ROBERT S. BERNSTEIN, as Plan Administrator for the Creditors Trust under the Debtor's confirmed Plan, Plaintiff, MEYER, UNKOVIC & SCOTT LLP, a Pennsylvania Limited Liability General Partnership, and ROBERT E. DAUER, JR., an individual, Defendants.	Case No. 19-22715-CMB Chapter 11 Adv. Proc. No. 21-02063

BRIEF IN SUPPORT OF MOTION TO DISMISS

Defendants, Meyer, Unkovic & Scott LLP and Robert E. Dauer Jr. (collectively "Law Firm"), by and through their attorneys, Bethann R. Lloyd, Holly M. Whalen and Katherine P. Berquist of DiBella Weinheimer, move to dismiss this case with prejudice pursuant to Rule 12(b)(6) of the Federal Rules of Civil Procedure, as incorporated by Federal Bankruptcy Rule 7012. In support of said Motion, the Law Firm states as follows:

I. OVERVIEW

This lawsuit is an attempt by creditors to hold the Law Firm responsible for the failure of a startup business. Specifically, the Law Firm was asked to assist its client in acquiring assets and franchise rights to enable the client an opportunity to proceed with its business plan.

Unfortunately, the business was not profitable and failed. Three years after the work was performed, and 2 years after the bankruptcy filing, Creditors Trust claims the Law Firm committed professional malpractice. There are no allegations of fraud or corporate wrongdoing, only allegations of a failed business based on allegedly flawed business advice as to capitalization at the time of the start-up and thereafter.

The Law Firm moves to dismiss the Complaint on procedural grounds at this time: 1) the claim is time-barred; 2) allegations of deepening insolvency state no claim; 3) alleged ethics violations are not a basis of substantive liability; and 4) Plaintiff's reservation of rights is an improper pleading.

II. PROCEDURAL BACKGROUND

On July 8, 2019, 5171 Campbells Land Co., Inc. ("Campbells") filed a voluntary bankruptcy Petition under Chapter 11, styled In Re: 5171 Campbells Land Co., Inc. at Bankruptcy No. 19-22715-CMB. Prior to that filing, Campbells did not file a Complaint against the Law Firm. Nor was any claim against the Law Firm identified by Campbells in its bankruptcy filings.

On November 12, 2019, Campbells filed its Plan of Liquidation (ECF Doc. 308) ("Plan"). Debtor's Chapter 11 Plan of Liquidation transferred all remaining assets to a Creditors Trust, to be overseen by a Plan Administrator and liquidated for the benefit of Creditors. (ECF Doc. 308 pg. 3 of 38; Sec. 8.1). The Plan was confirmed by Order of the Bankruptcy Court dated March 18, 2020. (ECF Doc. 435). No Chapter 11 Trustee was ever appointed. The Plan does not specifically reference any claim against the Law Firm, or make reference to a professional malpractice claim.

On July 6, 2021, the Plan Administrator for the Creditors Trust ("Creditors Trust") filed this adversary action at Case No. 21-02063. On July 19, 2021, the Law Firm filed a Motion to Withdraw Reference of the Case Under 28 U.S.C. §157 and supporting Brief. (ECF Doc. 14 & 15). Said Motion remains pending, having been transmitted to the District Court. (ECF Doc. 19).

III. STATEMENT OF THE FACTS

The subject matter of this adversary proceeding is a state law claim of legal malpractice against the Law Firm. The Creditors Trust claims that the Law Firm rendered faulty business

advice to Campbells that led to an undercapitalized and unprofitable business and eventually, Campbells' bankruptcy filing. Drawing only from the averments in the Complaint for purposes of this Motion, and without admitting the truth of such averments, the Law Firm supplies this brief overview of a very complicated transaction.

In 2012, Campbells was formed as a land-holding commercial investment company. (ECF Adv. Doc. 1, Cmplt. ¶2). The Law Firm served as its outside legal counsel. (*Id.*). In 2016, Campbells became interested in acquiring the rights to develop a Perkins restaurant. (Cmplt. ¶36). Campbells was not successful in acquiring franchise rights at that time. (*Id.*). However, in 2017, another opportunity for Campbells arose when the owner and operator of a chain of 28 Perkins restaurant franchises (Unique Ventures) filed for bankruptcy. (Cmplt. ¶37).

In December 2017, Campbells prepared a business plan to propose to Perkins, as part of an attempt to acquire the franchise rights. (Cmplt. ¶41). The Law Firm did not prepare the business plan, but did forward it to Perkins. (*Id.*). Although the Creditors Trust Complaint sets forth only a brief excerpt of the business plan,[1] the excerpt reveals that Campbells explained to Perkins its plan for the asset purchase, financing, rent reduction, remodeling and coverage of operating expenses. (*Id.*). Not surprisingly, Campbells planned for financial viability of the Perkins franchise. (*Id.*).

By way of a high-level overview of the structure of the deal, which is described at length in the Complaint, Campbells planned to acquire: 1) the rights to the franchise; and 2) the real estate. Only the franchise rights were part of the Unique Venture's bankruptcy estate. The real estate was to be acquired separately, as an acquisition and lease-back deal. This type of structure

[1]The Creditors Trust Complaint is chalked full of excerpts from documents that are not attached to the Complaint, nor provided with appropriate context. For example, the Complaint selectively references portions of corporate documents, provides partial quotations and even pleads incomplete sentences purportedly taken from deposition transcripts.

allowed Campbells to become the operator of the franchise, but to acquire and resell the real estate to an investor while simultaneously leasing the property back from the investor.

Although the timetable is not well defined in the Complaint, Campbells lined up an investor (Store Capital) as a prerequisite to becoming a qualified bidder for the Perkins franchise rights. (*See*, Cmplt. ¶39).[2] The bid procedures were established pursuant to an Order dated November 21, 2017. Per the Order, to be deemed a "qualified bidder," certain requirements needed to be met, inclusive of proof of the financial capability to close the sale. Also, the bid procedures order expressly forbade any financing contingencies in the bids. (UV Dkt. 779, pg 11).[3]

The bankruptcy auction occurred on January 9, 2018. Campbells was the winning bidder. (Cmplt. ¶44). Thereafter, the Law Firm negotiated the asset purchase agreement. (Cmplt. ¶46). On January 29, 2018, the Court approved the asset sale. (Cmplt. ¶47)(UV Dkt. 970). In its Order approving the asset sale, the Court determined that Campbells had available or would have available all necessary cash and resources to consummate the asset purchase agreement and provided adequate assurance of its ability to perform under the acquired contracts. (*Id.*)

[2] The "Sale Motion", bid procedures, auction and other proceedings occurred in the case of In Re Unique Ventures Group, LLC, Bankruptcy Docket 17-20526 ("UV Dkt."). The "Sale Motion" can be found at UV Dkt. 700. The Order approving the bid procedures and setting the date of the auction is found at UV Dkt. 779. The January 29, 2018 Order Authorizing Sale (UV Dkt. 970) further confirms that the auction occurred on January 9, 2018, the final hearing occurred on January 24, 2018 and the Order authorizing Sale was entered on January 29, 2018.

[3] At the motion to dismiss stage, a court may take judicial notice of the docket entries in a case and the contents of the bankruptcy filings to determine the timing and status of case events as well as facts not reasonably in dispute. *In re Trichilo*, 540 B.R. 547, 549 (Bankr. M.D. Pa. 2015).

IV. ARGUMENT

A. THIS ACTION IS BARRED BY THE 2 YEAR STATUTE OF LIMITATIONS.

All of the alleged negligence by the Law Firm occurred prior to the termination of the Perkins' temporary license in June 2019. To the extent there is arguably any viable claim for legal malpractice, the Creditors Trust had 2 years within which to file it. As this action was not filed within that 2-year period, and because the Creditors Trust does not enjoy the benefit of any extension, this action is time barred and should be dismissed.

1. Pennsylvania substantive law applies to the instant legal malpractice action.

"A federal court sitting in diversity must apply state substantive law and federal procedural law." *Chamberlain v. Giampapa*, 210 F.3d 154, 158 (3d Cir. 2000). All of the events at issue involve activity in Pennsylvania and representation by a Pennsylvania law firm of a Pennsylvania entity. Therefore, Pennsylvania substantive law will apply.

2. In Pennsylvania, a legal malpractice claim is subject to a 2 year statute of limitations.

The Creditors Trust asserts a claim for legal malpractice/professional negligence against the Law Firm. In Pennsylvania, a two-year limitations period applies to such a claim. *Wachovia Bank, N.A. v. Ferretti*, 935 A.2d 565, 571 (Pa. Super. 2007); 42 Pa.C.S. § 5524(3), (7). Pennsylvania favors the strict application of the statutes of limitations. *Wachovia*, 935 A.2d at 572.

In Pennsylvania, "the trigger for the accrual of a legal malpractice action, for statute of limitations purposes, is not the realization of actual loss, but the occurrence of a breach of duty." *Id.*, at 572 (emphasis added). In its seminal decision in *Wachovia*, the Superior Court explained the application of the occurrence rule in legal malpractice actions in Pennsylvania, stating:

> Pennsylvania law provides that: the occurrence rule is used to determine when the statute of limitations begins to run in a legal malpractice action. Under the occurrence rule, the statutory period commences upon the happening of the alleged breach of duty. *Bailey v. Tucker*, 533 Pa. 237, 251, 621 A.2d 108, 115 (1993). An exception to this rule is the equitable discovery rule which will be

> applied when the injured party is unable, despite the exercise of due diligence, to know of the injury or its cause. *Pocono Raceway v. Pocono Produce, Inc.*, 503 Pa. 80, 85, 468 A.2d 468, 471 (1983). Lack of knowledge, mistake or misunderstanding, will not toll the running of the statute. *Id.* 503 Pa. at 85, 468 A.2d at 471. *Robbins & Seventko Orthopedic Surgeons, Inc. v. Geisenberger*, 449 Pa. Super. 367, 674 A.2d 244, 246-47 (Pa. Super. 1996).

Id., at 572 (emphasis in original). Thus, the Court held, "the statute of limitations in a legal malpractice claim begins to run when the attorney breaches his or her duty, and is tolled only when the client, despite the exercise of due diligence, cannot discover the injury or its cause." *Id.* at 572-573.

The fundamental assertion by Plaintiffs in this action is that the Law Firm failed to provide business advice at the time Campbells was structuring a deal to purchase the Perkins franchise and acquire real estate that was also necessary to the deal. One nuance of the claim is that the Law Firm did not explain the documents sufficiently. Another nuance is that the Law Firm should have advised Campbells of the option to file bankruptcy in 2018. Regardless of the theory of liability, all of the alleged negligent conduct necessarily occurred between January 2018, when the franchise was obtained, and June 2019, when franchise rights were permanently lost. The Creditors' Trust filed this action on July 6, 2021, outside the 2-year statute of limitations period. Therefore, the Creditors Trust's claims against the Law Firm are time-barred and should be dismissed.

3. Section 108 of the Bankruptcy Code does not extend the time for the Creditors Trust to file a legal malpractice claim.

The only possible means to extend the statute of limitations would be if by operation of law, the statute of limitations was extended. However, as explained below, no such extension applies to the Creditors Trust.

Section 108(a) of the Bankruptcy Code provides a mechanism for a trustee to file a claim that otherwise would be time-barred. Specifically:

> (a) If applicable nonbankruptcy law, an order entered in a nonbankruptcy proceeding, or an agreement fixes a period within which the debtor may commence an action, and such period has not expired before the date of the filing of the petition, the trustee may commence such action only before the later of– (1) the end of such period, including any suspension of such period occurring on or after the commencement of the case; or (2) two years after the order for relief.

11 U.S.C. §108 (emphasis supplied). Section 108, by its plain reading, allows only a trustee to commence such an action on an untimely basis, pursuant to the above statutory authority. Section 108 is not ambiguous.

In a Chapter 11 case, where a trustee is often not appointed, a separate statutory provision, 11 U.S.C. §1107(a), affords a debtor-in-possession all of the powers and duties of a trustee. *See, Wood & Locker, Inc. v. Doran & Assocs.*, 708 F. Supp. 684, 687 (W.D. Pa. 1989). "[V]arious courts have looked at the provisions of Chapter 11 and have concluded that Chapter 11 debtors-in-possession have the same rights as a trustee under Section 108(a)." *In re McConnell*, 390 B.R. 170, 179 (Bankr. W.D. Pa. 2008).

However, creditors are not conferred the same tolling power, as was recognized in *In re McConnell*, 390 B.R. at 179. Here, the Creditors Trust filed the action. The Creditors Trust is neither the trustee, the debtor-in-possession nor the debtor.[4] Rather, Creditors Trust is exactly as it sounds, a trust created post-confirmation for the benefit of the creditors. (ECF Doc. 308, Art. 1.24). Although Creditors Trust desires to stand in the shoes of the debtor, it is not the debtor. As such, Section 108 does not apply to extend the time period for Creditors Trust to file an action against the Law Firm.

[4]Debtor's Chapter 11 Plan of Liquidation transferred all remaining assets to a Creditors Trust, to be overseen by a Plan Administrator and liquidated for the benefit of Creditors. (ECF Doc. 308 pg. 3 of 38; Sec. 8.1). The Plan Administrator was granted the powers of a trustee under Sections 704 and 1106. (*Id.* Sec. 8.1.1). The Debtor was left with no assets. The Plan of Liquidation was confirmed on March 18, 2020. (ECF Doc. 435).

B. ALLEGATIONS OF DEEPENING INSOLVENCY SHOULD BE STRICKEN AS NOT STATING A VIABLE BASIS FOR A CLAIM.

Creditors Trust's claim hints at a claim of deepening insolvency, although not expressly pled as a separate claim. Specifically, in paragraph 9 of the Complaint, Creditors Trust alleges that because of the Law Firm's actions, Campbells suffered "deepening insolvency" and brings this action to recover such damages. (ECF Doc. 1, ¶9). Likewise, in paragraph 107, Creditors Trust alleges "increased insolvency of the Company in excess of $30 million" are the damages sought. Further, in paragraph 112(p) and elsewhere, Plaintiff alleges that the Law Firm owed duties to the "insolvent company."

It appears that Plaintiff is being a bit clever in attempting to state a claim of deepening insolvency indirectly. In *Official Comm. of Unsecured Creditors v. R.F. Lafferty & Co.*, 267 F.3d 340, 347 (3d Cir. 2001), the Third Circuit Court of Appeals described "deepening insolvency" as a type of "injury to the debtors' corporate property from the fraudulent expansion of corporate debt and prolongation of corporate life." To the extent such a claim is even viable (as it has not specifically been recognized in Pennsylvania), only fraudulent conduct can support such a claim, not negligence. *Id.*; *In re CitX Corp., Inc.*, 448 F.3d 672, 681 (3d Cir. 2006).

There are no allegations of fraud in the Complaint; nor could there be given the context of what occurred. If a claim of deepening insolvency is not viable, the allegations of damages based on a theory of deepening insolvency have no place in this litigation. Therefore, all averments of deepening insolvency, all damages based on deepening insolvency, and any claim for deepening insolvency must be stricken from the Complaint.

C. PLAINTIFF'S ALLEGED VIOLATION OF ETHICS RULES IS IMPROPER AND FAILS TO STATE A CLAIM UPON WHICH RELIEF MAY BE BASED.

As part of Count I, alleging legal malpractice, the Creditors Trust alleges multiple and generic violations of the Pennsylvania Rules of Professional Conduct, specifically, Rule 1.1 Competence, Rule 1.3 Diligence, Rule 1.4 Communications, Rule 1.7 Conflicts, Rule 2.1

Advisor and Rule 8.4 Misconduct.[5] The pleading of ethics violations in the context of legal malpractice case is improper and should be stricken.

The Preamble to the Rules of Professional Conduct makes quite clear that the Rules are not to be used as a basis for civil liability. (Preamble, RPC, nt. 19). The Preamble explains: "Violation of a Rule should not itself give rise to a cause of action against a lawyer nor should it create any presumption in such case that a legal duty has been breached. . . . They are not designed to be a basis for civil liability." *Id.* (emphasis supplied). Here, Creditors Trust, who was never a client of the Law Firm, is invoking the ethics rules improperly as a basis for substantive liability.

D. CREDITORS TRUST IS NOT ENTITLED TO RESERVE THE RIGHT TO FILE ADDITIONAL CLAIMS AND SUCH RESERVATION SHOULD BE STRICKEN FROM ITS COMPLAINT.

The Creditors Trust's Complaint contains a reservation of rights as follows: "The Plaintiff reserves the right to amend this Complaint, upon completion of his investigation and discovery, to assert any additional claims for relief against the Defendants as may be warranted under the circumstances and allowed by law." (ECF Adv. Doc. 1, ¶118). There is no such right in the Bankruptcy Rules or the Federal Rules of Procedure. Rule 8 requires a short and plain statement of the claim. FRCP 8(a). It contains no option to reserve the right to add claims.

Moreover, it has been held to be improper to include a reservation of rights in a pleading. *See, Avocent Redmond Corp. v. United States*, 85 Fed. Cl. 724, 726 (2009); *Paducah River Painting, Inc. v. McNational Inc.*, 2011 WL 5525938, at *5 (W.D. Ky. Nov. 14, 2011). Defendants are entitled to know the nature of the claim. If Creditors Trust believes that at some future time, there is a need for amendment, it may follow the procedural requirements of the Federal Rules to attempt to make such amendment. *See*, FRCP 15.

[5] The pleading of ethics violations in the context of legal malpractice case is improper and should be stricken. Technically, the Complaint refers to the "Pennsylvania Rules of Civil Procedure," but presumably, that was in error, as the citations only make sense if read to be an alleged violation of the Pennsylvania Rules of Professional Conduct.

CONCLUSION

Defendants respectfully request that the Court grants their Motion to Dismiss for the reasons stated above and in the Motion itself and enter judgment in their favor and against Plaintiff.

JURY TRIAL DEMANDED

Respectfully submitted,

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